

54 Ashburner St, Higgins ACT 2615

Should this four-bedroom house be converted from a long-term rental into a short-term (Airbnb) let? This report models both, using AirROI's own revenue projection and 25 live comparable listings around the property.

Value **\$1.0M**

Config **4 bd · 2 ba · sleeps 8**

Market **Higgins, District of Belconnen**

Data **AirROI · Aug 2026**

Comparables **25 listings**

● VERDICT — PROCEED ONLY WITH TOP-TIER EXECUTION

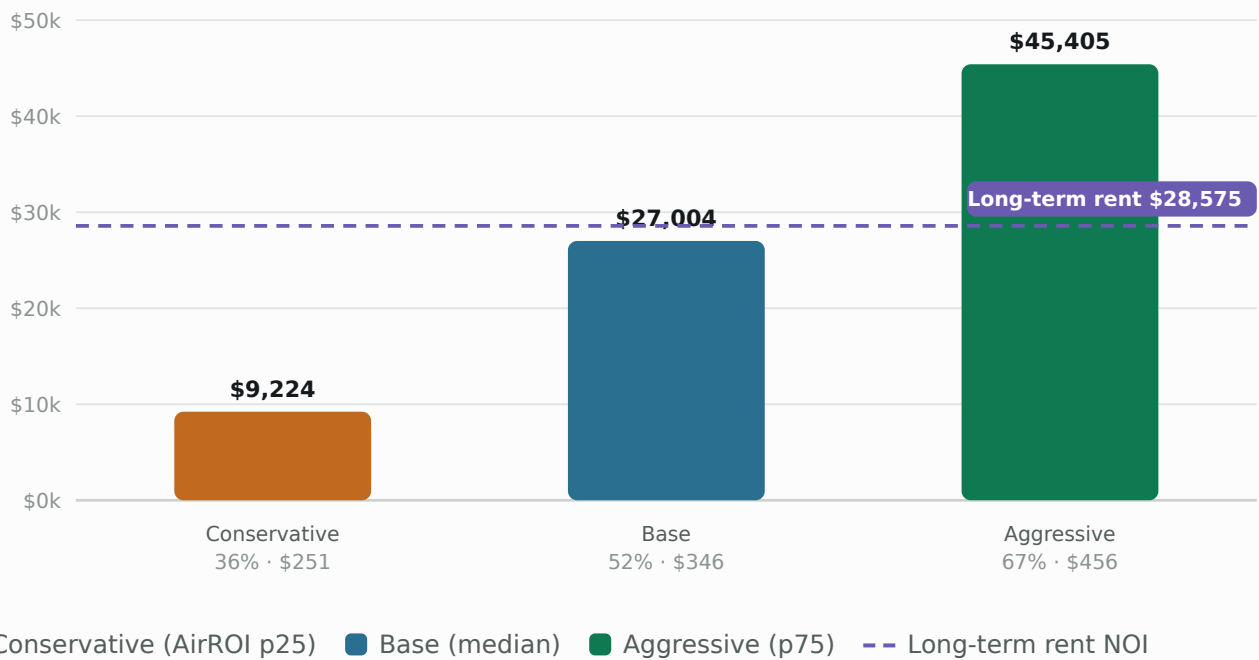
At typical performance, short-term letting is about line-ball with a long-term rental — the upside is real but only with top-quartile execution.

AirROI's median projection puts short-term NOI at **\$27,004** against **\$28,575** for a \$750/week long-term rent — a difference of **\$-1,571** before you amortise the \$30,000 fit-out. The downside case earns **\$-19,351** less than long-term; the top-quartile case earns **+\$16,830** more. It's a higher-variance bet whose expected edge shows up only in the upper quartile.

BASE STR REVENUE \$62,033 AirROI median for this home	BASE STR NET INCOME \$27,004 after costs & 5% levy	LONG-TERM RENT INCOME \$28,575 \$750/wk, net	BREAK-EVEN OCCUPANCY 51% to match long-term rent
UPSIDE VS LONG-TERM +\$16,830 top-quartile (p75) case	DOWNSIDE VS LONG-TERM \$-19,351 weak case (p25)		

01 Scenario returns vs. long-term rent

Net operating income after all running costs and the 5% ACT levy, before furnishing amortisation. The dashed line is what the house earns as a **\$750/week long-term rental** — the bar has to clear it for short-term to be worth the extra work.

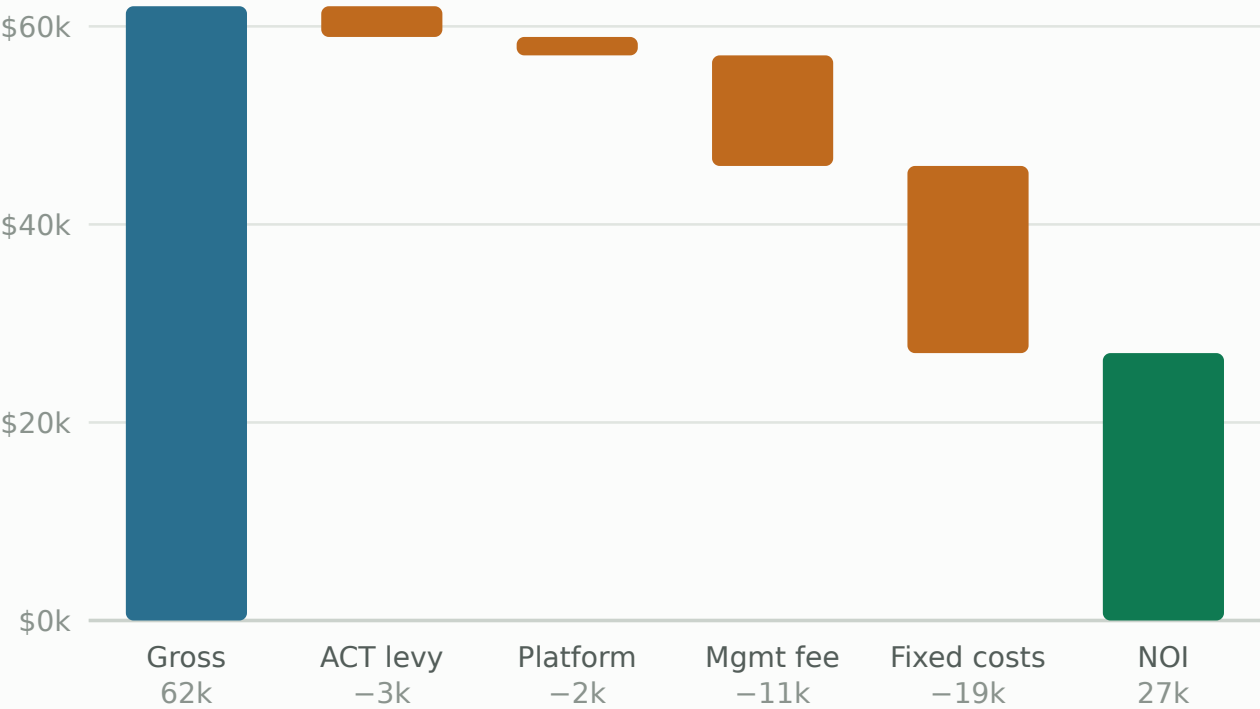


PER YEAR (AUD)	CONSERVATIVE	BASE	AGGRESSIVE
Occupancy	36%	52%	67%
ADR (nightly)	\$251	\$346	\$456
Nights booked	131	190	245
Gross revenue	\$38,005	\$62,033	\$86,899
ACT levy (5%)	\$-1,900	\$-3,102	\$-4,345
Platform fee	\$-1,140	\$-1,861	\$-2,607
Management fee	\$-6,841	\$-11,166	\$-15,642
Fixed operating costs	\$-18,900	\$-18,900	\$-18,900
Net operating income	\$9,224	\$27,004	\$45,405
Net yield	0.92%	2.7%	4.54%
vs. long-term rent	\$-19,351	\$-1,571	+\$16,830

Scenarios anchored to AirROI's revenue percentiles for this exact property: Conservative = p25, Base = median (p50), Aggressive = p75. Break-even to match long-term rent ≈ \$64,155 gross (~51% occupancy). All-cash basis; furnishing amortised separately.

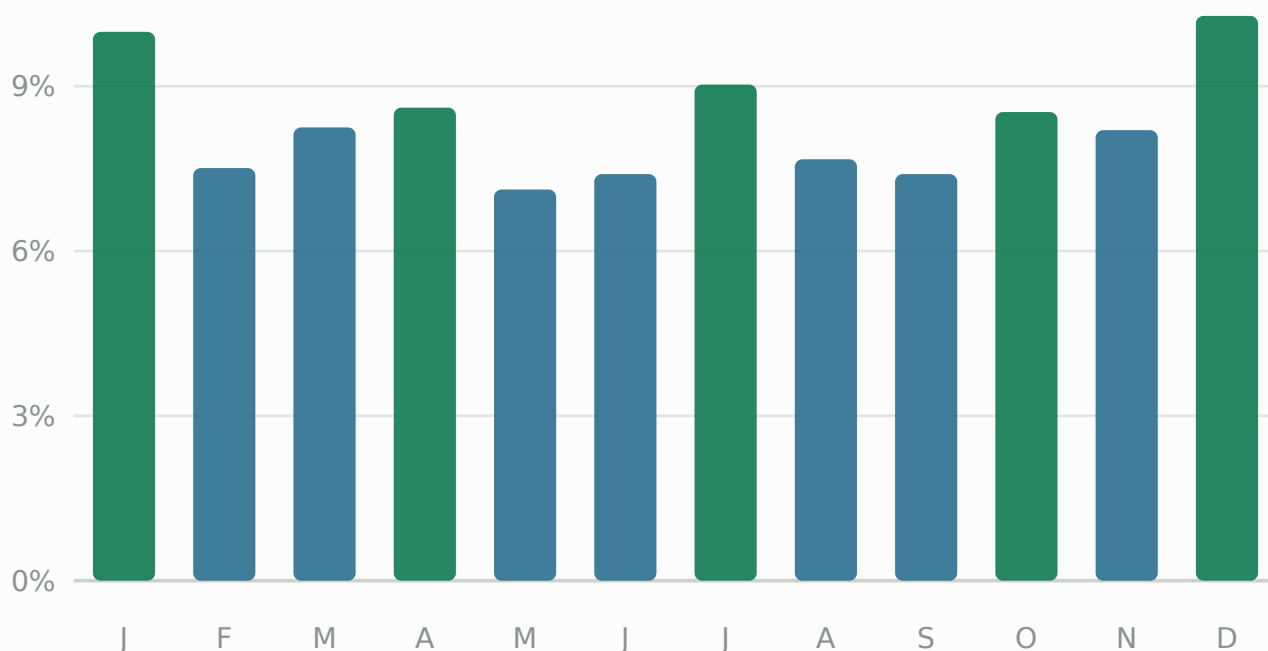
Where the base-case money goes

From AirROI's median gross revenue down to net operating income, per year.



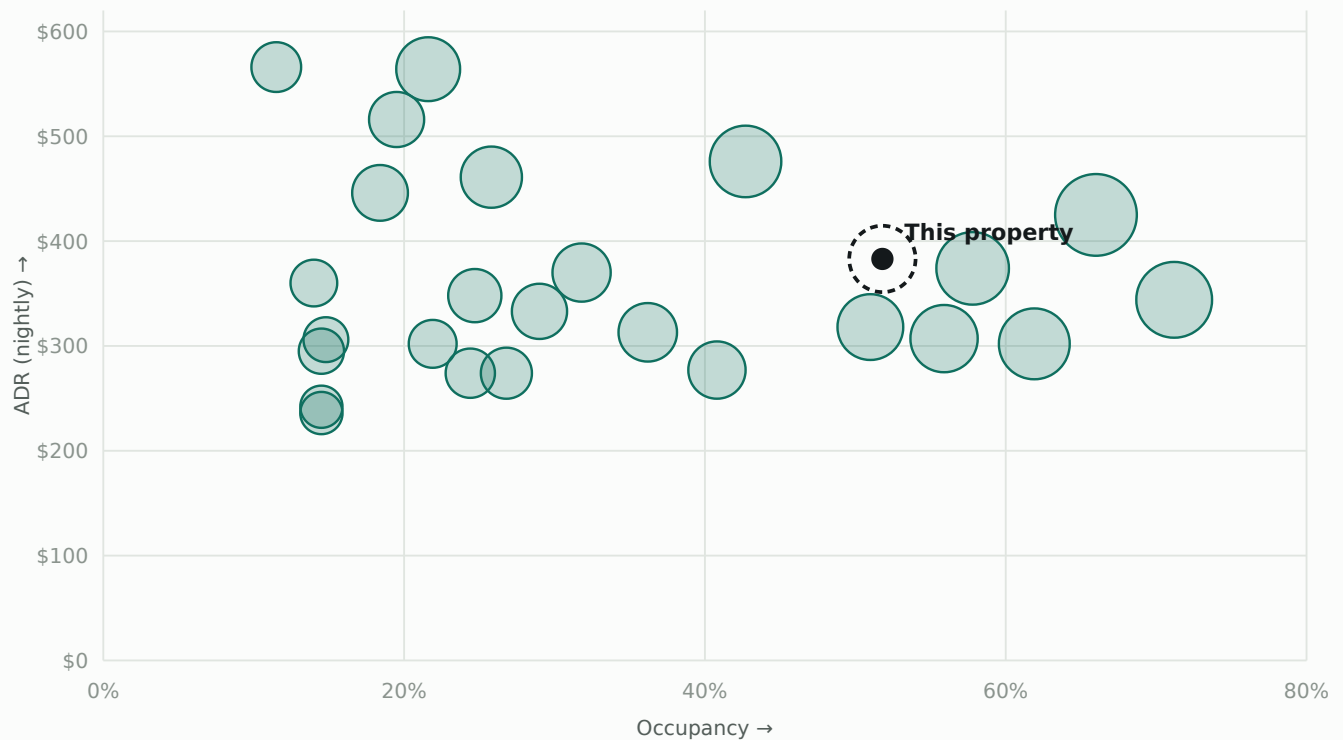
Demand is barely seasonal

Share of annual revenue by month — mild summer peaks (Dec-Jan), a shallow autumn trough. Canberra runs on year-round government, business & event demand, not a holiday season.



02 The comparables tell the real story: execution > location

Each dot is a live listing near the property. The spread is enormous — well-run 4-bed homes clear **60-70% occupancy** at **\$340-425** a night; poorly-run ones sit under 30%. Your outcome depends far more on how the property is run than on the suburb.



● Comparable listing (bubble size = annual revenue) ● This property — AirROI projection

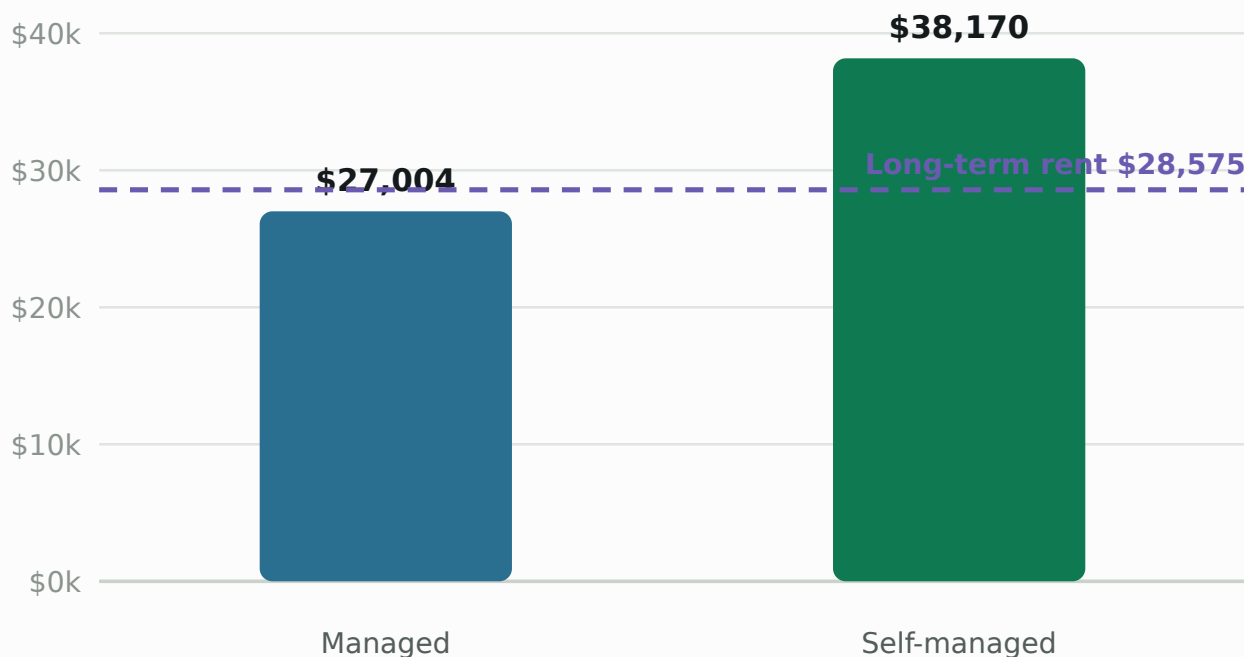
03 Sensitivity — what it takes to beat long-term rent

Net yield ($\text{NOI} \div \$1\text{M value}$) across occupancy and nightly rate. Cells at or above the long-term-rent net yield of **2.86%** are green; below are amber. The break-even line sits around 51% occupancy at a \$346 ADR.

		Occupancy →					
		30%	40%	50%	60%	70%	80%
ADR →	\$500	2.2%	3.5%	4.9%	6.2%	7.6%	8.9%
	\$450	1.8%	3.0%	4.2%	5.4%	6.6%	7.8%
	\$400	1.4%	2.4%	3.5%	4.6%	5.7%	6.8%
	\$350	0.9%	1.9%	2.8%	3.8%	4.7%	5.7%
	\$300	0.5%	1.4%	2.2%	3.0%	3.8%	4.6%
	\$250	0.1%	0.8%	1.5%	2.2%	2.8%	3.5%

04 Management is the swing factor

The single biggest lever in the whole model isn't occupancy — it's **who runs it**. A full-service manager takes ~18% of revenue. Do it yourself and that money is yours, which is what tips the median case decisively past long-term rent.



■ Professionally managed (−18%) ■ Self-managed - - Long-term rent NOI

SELF-MANAGING ADDS

+\$11,166

per year vs a manager — for your time on guest comms, cleaning coordination & pricing

Managed, the base case is line-ball with long-term rent. **Self-managed, it clears it comfortably** — but you take on the operating work a long-term tenant would never create. That trade — roughly \$11k/yr for a part-time job — is the real question behind "should I do this."

05 Financing, tax & total return

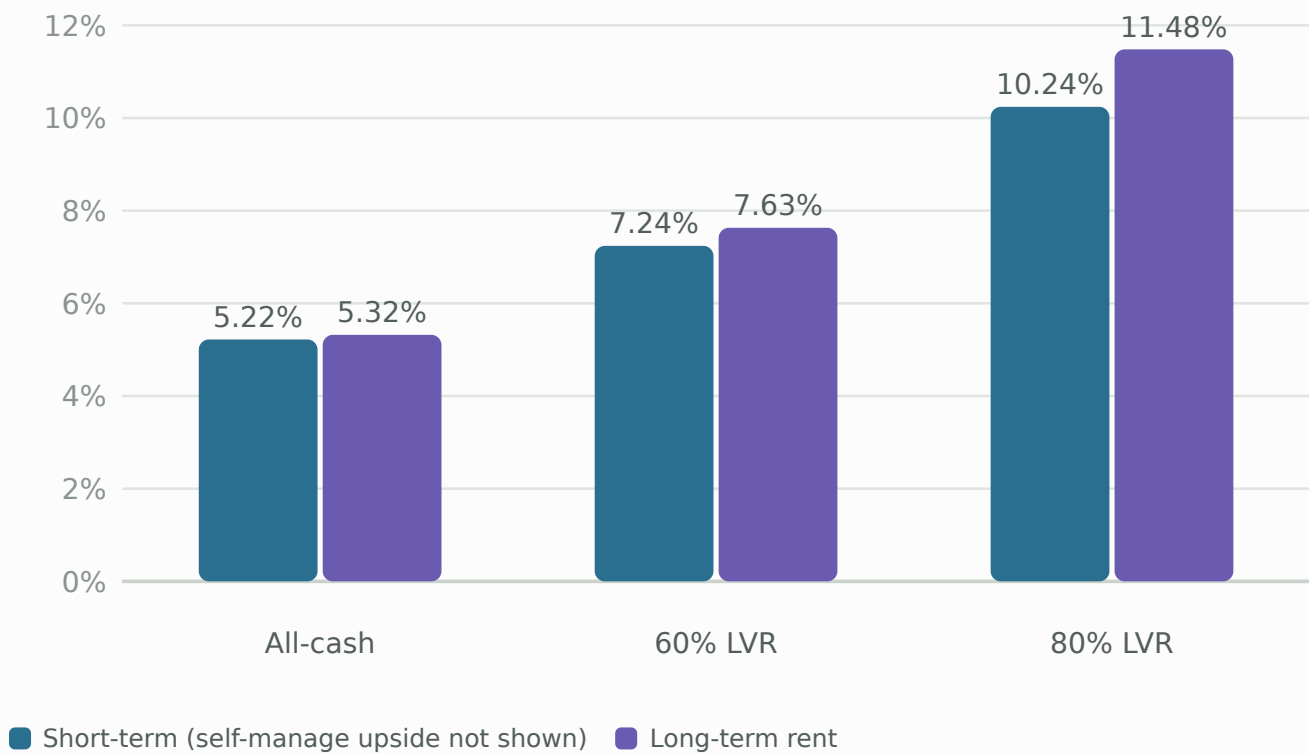
Layering in a mortgage, your marginal tax rate, and capital growth. One thing to hold onto: **capital growth is identical whether you let short- or long-term** — same house, same market — so it's a wash between the two, and the bulk of your wealth here comes from the asset appreciating, not the letting strategy.

BASE STR (MANAGED) — PER YEAR	ALL-CASH	60% LVR	80% LVR
Loan	\$0	\$600,000	\$800,000
Your equity	\$1,030,000	\$430,000	\$230,000
Interest cost	\$-0	\$-37,200	\$-49,600
Pre-tax cash flow	\$27,004	\$-10,196	\$-22,596
Tax / (refund)	\$-8,192	refund \$6,316	refund \$11,152
After-tax cash flow	\$18,812	\$-3,880	\$-11,444
Cash-on-cash (after tax)	1.83%	-0.9%	-4.98%
Capital gain @3.5%	\$35,000	\$35,000	\$35,000
Total return on equity	5.22%	7.24%	10.24%

Assumptions: interest 6.2%, marginal tax 39%, capital growth 3.5% (=\$35,000/yr, identical for long-term rent). Negative cash-on-cash under leverage = negative gearing — the shortfall is funded by you but is tax-deductible and offset against other income. Not tax advice.

Total return on equity — STR vs long-term

After-tax cash yield + capital growth, by how much you borrow. Bars converge because growth dominates and is common to both.



What the tax layer means

- Both STR and long-term rental income are taxed at your **marginal rate** (~39% assumed). STR earns more gross but also carries more deductible cost and depreciation.
- You already own the property, so you are **grandfathered for negative gearing** — under leverage the rental loss offsets your other income (the refund shown).
- Depreciation is largely the **new \$30k furnishings** (claimable because bought new); the ~1970s building likely predates the 1987 capital-works rule, so little building depreciation.
- On sale, a **50% CGT discount** applies if held >12 months. If this was ever your home, income use can affect the main-residence exemption — get advice.
- Residential letting (short or long) is **input-taxed for GST** — no GST on rent, no credits. Watch the ATO holiday-home “**main use**” test if personal use is high.

06 The 10-year picture

Projecting a decade out (rent & revenue growing ~3%/yr, costs ~3%, the levy stepping to 7.5% in 2027, all-cash after-tax). The gap between the strategies

is the **cumulative cash** — total wealth is dominated by the ~\$411k capital gain that every option shares.

PROPERTY VALUE, YR 10 \$1.41M +\$410,599 gain (all)	10-YR CASH — SELF-MANAGED \$280,425 cumulative after-tax	10-YR CASH — MANAGED \$202,342 cumulative after-tax	10-YR CASH — LONG-TERM \$207,624 cumulative after-tax
WEALTH VS LTR — SELF +\$42,801 10-yr total	WEALTH VS LTR — MANAGED \$-35,282 10-yr total		

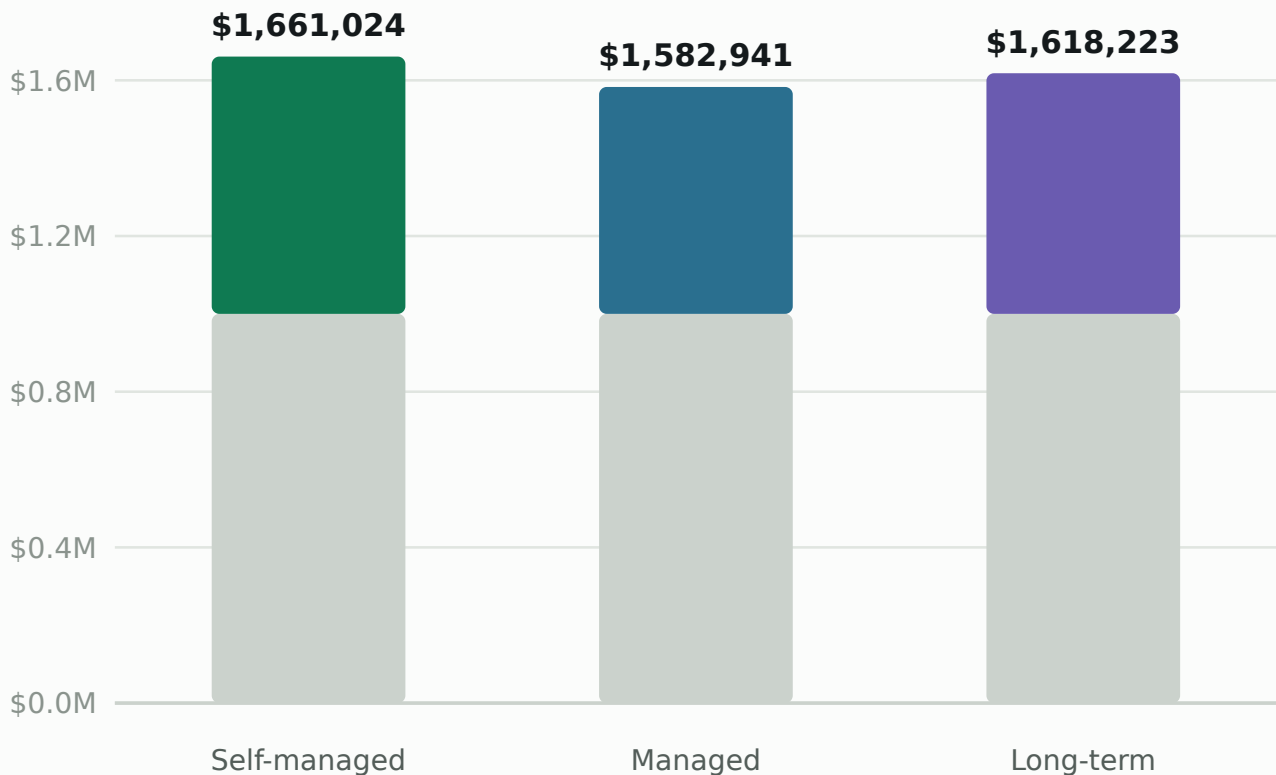
Cumulative after-tax cash flow

Where the strategies actually diverge over 10 years. Self-managing compounds the fee saving.



Total wealth at year 10

Property value + cumulative cash – setup. The capital-gain slab (grey) is identical for all three — the coloured tip is the only real difference.



Assumptions: income +3%/yr, costs +3%/yr, capital growth 3.5%/yr, levy 5%→7.5% in 2027, all-cash after-tax. Over 10 years, self-managed STR builds ~\$42,801 more wealth than long-term rent; managed STR builds ~\$35,282 less — while the \$410,599 capital gain is common to all three.

07 Market context AirROI trailing-12-month averages (all property sizes)

MARKET	OCCUPANCY	ADR	REVPAR	AVG ANNUAL REV	LISTINGS
Higgins (suburb)	55%	\$188	\$106	\$30,060	4
District of Belconnen	47%	\$230	\$112	\$28,188	196
North Canberra	51%	\$232	\$121	\$32,332	404
Canberra (city)	49%	\$257	\$120	\$29,826	305

Market averages blend all sizes — mostly 1-2 bedroom units — so they read low. A 4-bedroom home like this one sits well above them, which is why the property-specific projection (\$383 ADR) is the right anchor, not the ~\$230 market ADR.

08 Regulatory & risk

ACT levy rising

The short-term rental levy is 5% today but is legislated to jump to **7.5% on 1 July 2027** — modelled in the spreadsheet. It shaves roughly \$1,500/yr off the base case at that point.

Huge performance dispersion

Comparable 4-bed revenue ranges from ~\$18k to ~\$126k. The median-to-upside gap is almost entirely **management & pricing quality**. Weak execution lands you well below long-term rent.

Low absolute yield

Even the aggressive case is a **4.5% net yield** on a \$1M asset. Canberra is a capital-growth, low-yield market — short-term rental improves cash yield only modestly and only if run well.

Regulation is light — for now

The ACT has **no mandatory STR registration cap** currently, and demand is barely seasonal (steady government/business travel). But the regime is under review — factor in tightening risk.

Operating intensity

Short-term letting means guest turnover, cleaning logistics, reviews, and ~18% management fees (or your time). The base case barely out-earns a hands-off long-term tenant after the \$30k fit-out.

Break-even is achievable

Break-even vs long-term rent is ~**51% occupancy** at \$346/night — below what well-run local 4-beds already achieve (58–71%). The upside is attainable with professional management.

09 Assumptions & sources

Key assumptions

- Property value \$1,000,000; all-cash basis (no mortgage supplied — cash-on-cash equals net yield).
- STR scenarios = AirROI revenue percentiles for this 4bd/2ba property: p25 \$38.0k · median \$62.0k · p75 \$86.9k.
- Management 18% of revenue, platform 3%, plus utilities \$6.0k, insurance \$2.4k, consumables \$2.4k, maintenance \$3.5k, council rates \$3.8k, supplies \$0.8k.
- Furnishing & setup \$30,000, amortised over 5 years (shown separately from NOI).
- Long-term rent \$750/week, 2 weeks vacancy, 7% management, \$1.5k maintenance, rates & insurance as above.
- ACT STR levy 5% (current). A separate 7.5% (2027) view is in the spreadsheet model.

Data sources

- **AirROI Airbnb Data API** — property revenue calculator, 25 comparables, and market summaries for Higgins / District of Belconnen / North Canberra / Canberra. Pulled 8 Aug 2026.
- **ACT Revenue Office** — short-term rental accommodation levy: 5% now, legislated to 7.5% from 1 Jul 2027.
- **User-provided** — property value (\$1.0M), configuration (4bd/2ba), expected long-term rent (\$750/wk), furnishing budget (\$30k).
- Cost assumptions (management, utilities, insurance, rates) are labelled estimates — all editable in the accompanying spreadsheet model.

Prepared for a short-term-rental conversion decision · Figures in AUD · Not financial advice — a decision aid built on modelled projections. Actual returns vary with management quality, pricing strategy, condition and regulation. Pair with a local leasing appraisal before committing.